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EVOLUTION OF THE INDIAN ECONOMY

*After 1757, when the East India Company took over the governance of Bengal, the British relationship with India, became exploitative, as exports to Britain and opium exports to China were financed out of the tax revenue from Bengal. There is not much evidence of significant transfer of European technology to Asia. To understand why, it is useful to scrutinize the experience of China and India, as they accounted for three-quarters of the Asian population and GDP in 1500 AD.**

- The Background
- Prime Moving Force—Agriculture vs. Industry
- Planned and Mixed Economy
- Emphasis on the Public Sector

** See Angus Maddison, 'Growth and Interaction in the World Economy: The Roots of Modernity', The AEI Press, Washington, DC, 2005, p. 60.*